Career and Educational Development Programs

You should use your own family money to help keep the family from regressing to the mean. Family businesses and family investments challenge family members. They cause them to stretch, to grow into the responsibilities in front of them. You can help them grow by providing internships, jobs, investment analysis, and on-the-job training in business and finance, as well as more "store-bought" educational opportunities.

Heed the words of Baron Rothschild: "A hired hand is very different from your own blood!" The job of the family office—its ultimate aim, in fact—is to prepare and harness the potential of your family's human assets. Some of the ways of keeping family members engaged and learning include:

- Involvement in the family business.
- Involvement in family philanthropy.
- A role on the investment committee.
- A role in the management of family property.
- An administrative role in the family office.
- Starting a new business venture with family funds and support.

These things directly help support the family enterprise and the family money. Remember, family wealth needs to be replenished by each generation or it will disappear. That's why you should run the family office like a business. You need to make sure you seek a return on investment (ROI) on its assets.

This often happens indirectly. For example, when the family bank lends for a new business start-up, or for professional education, family members reach a level of success in their careers so they can support themselves. In this way, they cease to be "liabilities" to the family office.

Put another way, the purpose of the family office is to help current and future family members develop their talents and become productive. This, in turn, helps the family office endure. Because when family members discover meaningful work, they are much less likely to become "liabilities" on the family balance sheet.